

AUGUSTA RULE COMPLIANCE CHECKLIST

IRC §280A(g) — Educational Use Only

INTRODUCTION

The Augusta Rule is one of the most misunderstood tax strategies in this book.

When it works, it's clean, legal, and effective.

When it fails, it fails completely.

This checklist is not a how-to guide. It's a reality check.

If any of the items below are missing, the IRS may disallow the entire strategy.

PRE-QUALIFICATION CHECKLIST

Before using the Augusta Rule, verify ALL of the following are true:

- You own or rent a personal residence
- The residence will be rented to your business for legitimate business purposes
- **Total rental use of the residence to any party will NOT exceed 14 days during the tax year**
- The rental is structured as an arm's-length transaction (not a disguised bonus)
- The business use is ordinary and necessary for your company

If you cannot check ALL five boxes, the Augusta Rule does not apply.

THE 14-DAY RULE (HARD STOP)

Critical Requirement:

- The residence is rented for **14 days or fewer** during the tax year

WARNING:

Day 15 kills the strategy.

There is no phase-out. There is no partial exclusion.
Exceeding 14 days causes **all rental income** to become taxable.

This is one of the most common — and most expensive — mistakes.

FAIR RENTAL VALUE AND SUPPORT

To support that the rent is reasonable, verify the following:

- Rent reflects fair market value for similar short-term rentals or meeting space in your area
- You have **some documentation or rationale** for comparable rental rates (market listings, local meeting-space rates, or similar support)
- Rent is NOT inflated to manufacture deductions
- Rental rate is reasonable and defensible

The IRS does not require precision. It does require reasonableness.

RED FLAG: Amounts clearly above market will trigger scrutiny.

QUALIFYING BUSINESS USE

The rental must serve a legitimate business purpose.

Common Qualifying Uses:

- Board meetings
- Strategic planning sessions
- Annual business reviews
- Leadership or management meetings
- Training sessions for key personnel

What Does NOT Qualify:

- **✗** Birthday parties
- **✗** Family dinners or gatherings

- ✗ Personal vacations with casual "business discussions"
- ✗ "Working near my laptop" events

Mixed-use events create risk unless the business purpose is clear and documented.

DOCUMENTATION THE IRS EXPECTS TO SEE

In an audit, the IRS will typically look for:

- Written rental agreement between you and the business
- Evidence supporting fair market rent
- Meeting agenda or schedule showing business purpose
- Attendee list (who attended, their role, business relevance)
- Proof of payment (check, wire transfer, ACH — not just a journal entry)
- Proof the payment was reported correctly by the business

Missing documentation turns a valid concept into a failed strategy.

PAYMENT MECHANICS

For rent to be respected by the IRS:

- The business actually paid rent (cash movement, not just bookkeeping entries)
- Payment occurred within a reasonable time after the event
- Payment was treated as a business expense by the company
- You (the homeowner) reported the income appropriately OR excluded it under §280A(g)

RED FLAG: Paper entries without cash movement are a common failure point.

COMMON FAILURE POINTS CHECKLIST

Review this list to avoid the most common mistakes:

- I did NOT exceed the 14-day limit
- I have a written rental agreement
- Rental rates are NOT inflated
- I have proof of business purpose (agenda, meeting notes)
- I have proof of payment (bank records, not just QuickBooks entries)
- I am NOT using the residence as a disguised bonus or distribution
- I am NOT attempting to "stack" personal events as business use

Most failures are not aggressive — they're casual.

FINAL REALITY CHECK

Why This Strategy Is Powerful — and Fragile

The Augusta Rule works because Congress explicitly allowed it under IRC §280A(g).

It fails when:

- Documentation is weak
- Limits are ignored
- The transaction stops looking arm's-length

This is not a strategy to improvise.

PROFESSIONAL COORDINATION REQUIRED

The Augusta Rule requires coordination with:

- Payroll structure
- Reasonable compensation analysis
- Documentation standards

- Overall tax strategy

Understanding it is valuable.

Executing it casually is expensive.

DISCLAIMER

This checklist is provided for educational purposes only and is not legal, tax, or accounting advice.

The Augusta Rule should not be implemented without review by a qualified tax professional familiar with your specific facts and circumstances.